

CORPORATE VEIL & LIFTING OF CORPORATE VEIL

Company Law | Companies Act, 2013
Easy, case-based lecture for students

Learning Objectives

Understand the idea of separate legal personality.

Explain what the 'corporate veil' means.

Understand when and why courts/statutes may lift the veil.

Learn statutory grounds under the Companies Act, 2013.

Apply leading cases to simple problem questions.

Teaching tip: Start with concepts; then move to cases and exam application.

The Basic Question

A owns 99% of ABC Ltd. ABC Ltd. owes ₹50 lakh to X.

Can X automatically recover ₹50 lakh from A?

Generally, NO. ABC Ltd. is a separate legal person.

This legal separation between company and members is called the corporate veil.

Teaching tip: Ask students to answer before revealing the last point.

Separate Legal Personality – Section 9

Section 9: after incorporation, the company becomes a body corporate.

It has a legal identity separate from its members.

It can own property, contract, sue and be sued.

Company debts are ordinarily the company's debts—not automatically shareholders' personal debts.

Teaching tip: Key phrase for exam: 'separate legal entity'.

What is the Corporate Veil?

Imagine a legal curtain between the COMPANY and the PEOPLE behind it.

Front side: Company.

Behind the veil: shareholders, directors, promoters and controllers.

Normally, the law deals with the company itself—not directly with the people behind it.

Teaching tip: Draw a curtain on the board and label both sides.

Why Does the Law Protect the Veil?

It encourages investment and entrepreneurship.

It gives members limited liability where applicable.

It creates continuity even when members change.

It separates company property from members' personal property.

But the veil is NOT a licence to commit fraud or evade law.

Teaching tip: Rule: separate personality. Exception: lifting the veil.

Leading Case: Salomon v Salomon (1897)

Mr Salomon formed a company and held most of its shares.

The company later became insolvent.

Creditors argued that Mr Salomon and the company were effectively the same.

House of Lords rejected the argument.

Principle: a properly incorporated company is a person separate from its members.

What Does 'Lifting the Veil' Mean?

Normally the law respects the company's separate identity.

Lifting the veil means looking behind the company to identify the real persons, control, purpose or transaction.

It is an exception—not the normal rule.

The purpose is to prevent misuse of corporate personality.

Teaching tip: Use the phrase 'look behind the company'.

Corporate Veil: Rule vs Exception

RULE → Company is separate from members.

EXCEPTION → Veil may be lifted in appropriate circumstances.

RULE → Members normally enjoy the consequences of separate personality.

EXCEPTION → Responsible persons may face liability where law permits or wrongdoing is established.

Statutory Recognition – Companies Act, 2013

Important provisions: Section 7(7) – false information/fraud in incorporation.

Sections 34 & 35 – criminal and civil liability for mis-statements in prospectus.

Section 36 – fraudulent inducement to invest.

Section 216 – investigation of ownership of company.

Section 251(1) – fraudulent application for removal of company name.

Section 339 – fraudulent conduct of business during winding up.

Teaching tip: These provisions are exam-friendly examples of statutory intervention.

Section 7(7) – Incorporation by Fraud

If incorporation is obtained by false information, suppression of material facts or fraud, action may be taken under Section 7(7).

The Tribunal may regulate management, make members' liability unlimited, order removal of the company's name, or order winding up, among other measures.

Simple idea: a fraudulent company formation cannot be used as a shield.

Teaching tip: Ask: Can fraud at the birth of the company be ignored? No.

Section 34 – Criminal Liability for Mis-statements

Section 34 deals with criminal liability for mis-statements in a prospectus.

Persons responsible for the misleading statement may be exposed to punishment, subject to statutory conditions/defences.

The law therefore identifies responsible individuals—not merely the company.

Teaching tip: Do not say every director is automatically liable; responsibility depends on the section.

Section 35 – Civil Liability for Mis-statements

Section 35 deals with civil liability where a person subscribes for securities relying on a misleading prospectus and suffers loss.

Specified persons may have to compensate the affected investor, subject to statutory provisions and defences.

Exam point: Section 34 = criminal; Section 35 = civil.

Section 36 – Fraudulently Inducing Investment

The Act separately punishes fraudulent or deceptive conduct intended to induce a person to enter into an agreement for securities or obtain credit/financial benefit.

Example: a promoter knowingly uses false information to persuade investors to invest.

The corporate form cannot erase personal statutory responsibility.

Section 216 – Investigation of Ownership

The Central Government may appoint inspectors to investigate and report on membership and ownership of a company.

The investigation can reveal who is financially interested or controls the company.

Purpose: discover the real ownership/control behind the formal structure.

Teaching tip: Think: 'Who really owns or controls this company?'

Section 251(1) – Fraudulent Removal of Name

Where an application for removal of a company's name is made with the object of evading liabilities or deceiving creditors, liability can arise under Section 251(1).

Simple example: company tries to disappear from the register while leaving debts unpaid.

Fraudulent use of the corporate process is not protected.

Section 339 – Fraudulent Conduct During Winding Up

During winding up, if business was carried on with intent to defraud creditors or others, or for a fraudulent purpose, the Tribunal may make persons knowingly party to it personally responsible.

This can make liability unlimited for the relevant debts/liabilities.

Memory: Winding up + fraud → possible personal liability.

Judicial Grounds – The Big Picture

Courts may lift the veil where the corporate form is being misused.

Common grounds: fraud/improper conduct; evasion of legal obligations; tax evasion; sham or façade; public interest; agency; enemy character; closely integrated companies in appropriate cases.

No mechanical checklist applies to every case—the facts and purpose of the law matter.

Ground 1 – Fraud or Improper Conduct

If a company is used as a device for fraud, the court may look behind it.

Example: A transfers assets to a newly formed company to defeat a creditor.

Question: Is the company a genuine business or a device to defeat the creditor?

If evidence proves misuse, veil lifting may be justified.

Ground 2 – Evasion of Legal Obligations

A person cannot ordinarily escape an existing legal obligation merely by interposing a company.

Example: A has a contractual restriction, then creates a company solely to do what A promised not to do.

The court may examine the real purpose and relationship.

Ground 3 – Tax Evasion

Corporate personality cannot be used as a mask for fraudulent tax evasion.

But legitimate tax planning is not automatically tax evasion.

Vodafone shows the importance of examining the genuine transaction rather than disregarding every tax-efficient structure.

Teaching tip: Important distinction: avoidance/planning ≠ fraudulent evasion.

Ground 4 – Sham or Façade

A company may sometimes be a 'mask' hiding the real transaction or controller.

If the corporate structure is artificial and being used for an improper purpose, the court may look behind it.

Example: Company B exists only on paper while A conducts everything and uses B to avoid liability.

Ground 5 – Public Interest

Courts may consider the public interest and the object of the statute.

LIC v Escorts explains that veil lifting depends on the statutory context, object sought to be achieved, impugned conduct, public interest and effect on affected parties.

Therefore, there is no universal formula.

Ground 6 – Group / Associated Companies

A parent and subsidiary are normally separate legal persons.

However, where associated companies are so inextricably connected that, in reality, they form one concern, courts may in appropriate circumstances look at the economic reality.

Do NOT write: 'A subsidiary is always the same as its parent.' That is incorrect.

Teaching tip: This distinction is often tested in exams.

Ground 7 – Enemy Character

Historically, in wartime cases courts looked behind incorporation to identify who actually controlled a company.

Daimler Co Ltd v Continental Tyre and Rubber Co (1916) is the classic example.

Exam point: nationality/control can matter where the law requires the court to identify the real controlling persons.

Case: LIC v Escorts Ltd. (1986)

Supreme Court discussed the circumstances in which the corporate veil may be lifted.

The Court identified broad situations including statutory provisions, fraud/improper conduct, evasion of tax or beneficial legislation, and closely connected associated companies.

The Court stressed that the categories should not be treated as a rigid closed list.

Case: State of U.P. v Renusagar Power Co. (1988)

Renusagar was a wholly owned subsidiary of Hindalco and was closely controlled by it.

The Supreme Court examined the real relationship and held that, on the facts, the veil should be lifted.

Renusagar's separate existence had no meaningful independent volition in the relevant context.

Principle: realities of the situation and statutory purpose can justify veil lifting.

Case: Vodafone International Holdings v Union of India (2012)

Concerned a complex offshore share transaction and Indian tax implications.

The Supreme Court emphasized respect for genuine corporate structures and examined the transaction as a whole.

A tax benefit alone does not automatically justify disregarding a corporate structure.

But a sham, fraudulent or colourable device may justify looking through the structure.

Teaching tip: Use this to teach the difference between legitimate structuring and sham arrangements.

Quick Case Comparison

Salomon → separate legal personality is the foundation.

LIC v Escorts → broad principles for when veil may be lifted.

Renusagar → closely connected companies; reality and purpose matter.

Vodafone → genuine commercial structure should not be disregarded merely because it has tax consequences.

Daimler → enemy character/control in wartime context.

Problem Question 1

A Ltd. owes B ₹1 crore. Before judgment, A's controllers create BETA Ltd., transfer all valuable assets to it, keep the same business and leave A Ltd. empty.

Question: Should the court automatically treat A and BETA as the same company?

Better answer: No automatic rule. But if BETA is a device/sham used to defeat creditors, the court may consider lifting the veil and other legal remedies.

Teaching tip: Ask students to identify: purpose + control + effect on creditor.

Problem Question 2

X creates a genuine overseas holding structure for commercial reasons. The transaction is fully documented and not a sham. It produces a tax advantage.

Does tax advantage alone prove that the veil must be lifted?

Answer: No. Vodafone is useful for explaining that genuine structures are not automatically disregarded merely because they have tax consequences.

Problem Question 3

During winding up, directors knowingly carry on business with intent to defraud creditors.

Which Companies Act provision should you remember?

Section 339 – liability for fraudulent conduct of business.

Possible consequence: relevant persons may be made personally responsible without limitation for specified company debts/liabilities.

Common Student Mistakes

- ✗ 'Whenever a company is controlled by one person, veil is lifted.'
- ✗ 'Parent company and subsidiary are always one company.'
- ✗ 'Every tax-saving arrangement is illegal.'
- ✗ 'Shareholders automatically own company property.'
- ✓ State the rule first, then the exception, then the facts and case law.

Exam Answer Framework – 10/15 Marks

1. Define corporate veil.
2. Explain separate legal personality and cite Salomon.
3. Define lifting/piercing of veil.
4. Explain statutory grounds with Companies Act sections.
5. Explain judicial grounds.
6. Use 3–5 relevant cases.
7. Apply the principles to facts.
8. Conclude: veil is respected for genuine business but may be lifted to prevent statutory abuse, fraud or evasion where justified.

One-Minute Revision

CORPORATE VEIL = legal separation between company and members.

LIFTING VEIL = looking behind the company in appropriate cases.

RULE = separate legal personality.

EXCEPTION = statutory or judicial intervention.

KEY SECTIONS = 7(7), 34, 35, 36, 216, 251(1), 339.

KEY CASES = Salomon, LIC v Escorts, Renusagar, Vodafone, Daimler.

Classroom Check – Answer These

1. What is the corporate veil?
2. Which case established the classic principle of separate legal personality?
3. Is lifting the veil the rule or exception?
4. What does Section 216 investigate?
5. Distinguish Sections 34 and 35.
6. Which section deals with fraudulent conduct during winding up?
7. Name one case involving closely connected group companies.
8. Why is Vodafone important?

Take-Home Message

The company is normally a person separate from its members.

The corporate veil is essential to company law.

But the veil cannot be treated as an absolute shield for fraud or misuse.

Companies Act, 2013 itself contains statutory situations where responsibility can reach persons behind the company.

Courts lift the veil cautiously, based on statute, purpose, facts, public interest and the realities of the situation.

Teaching tip: End by asking students to explain the doctrine in 60 seconds.

Primary / Further Reading

Companies Act, 2013 – especially Sections 7(7), 34, 35, 36, 216, 251(1) and 339.

India Code – official text of the Companies Act, 2013.

Key authorities: Salomon v Salomon; LIC v Escorts Ltd.; State of U.P. v Renusagar Power Co.; Vodafone International Holdings BV v Union of India; Daimler Co Ltd v Continental Tyre.

Teaching note: Always verify the current statutory text/rules and amendments before examination use.